

FN Fabrinet

NYSE · Technology. Optical & Electronic Manufacturing · Updated 2026-06-10

RECOMMENDATION SELL	CURRENT PRICE \$586	12M TARGET \$234 (-60.1%)	NEXT EARNINGS 2026-08-17 (Q4 FY26 est. Datacom revenue and op...
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Thesis
Three bullets — the whole bet

1. Fabrinet is the trusted contract manufacturer behind the industry's most complex optical modules, assembling the 800G and 1.6T transceivers and silicon-photonics engines that the leading optical and networking vendors design but do not build themselves.
2. Its precision optical-packaging expertise, scaled Thai manufacturing base and long relationships with the top transceiver and networking customers make it the default high-complexity optical assembler, riding the same AI-interconnect wave as the component makers.
3. But Fabrinet earns a ~12-13% operating margin as an assembler and now trades near 6x sales. Even a DCF that extrapolates the AI-optical ramp lands near \$245 against a \$586 stock. A great operator, priced like the chip designers it serves.

Key numbers					
Pulled via yfinance-data · validated by Delta audit					
LAST CLOSE	\$586.00	52-WEEK RANGE	\$236.86 to \$748.89	DRAWDOWN FROM HIGH	-21.8%
1-YEAR RETURN	+140% (approx)	MARKET CAP	\$21.0B	SHARES OUT	35.8M
NET CASH (EST)	~\$0.9B	FY25 REVENUE (EST)	~\$3.4B	EV/SALES (FWD, EST)	~5x
OPERATING MARGIN (EST)	~12.5%	PRIMARY METHOD	DCF (FCFF)	CROSS-CHECK	EV/EBITDA 15x
INTRINSIC VS PRICE	-57%				

Business overview
What the company does, how it makes money, who it sells to

Fabrinet is a precision optical and electronic contract manufacturer based in Thailand. It provides advanced optical packaging, assembly and testing for the world's leading optical-communications and networking companies, building the complex transceivers and photonic modules those firms design but outsource.

BUSINESS MODEL
Fabrinet earns manufacturing fees to assemble and test customers' optical and electro-mechanical products, concentrated in datacom/telecom optical modules with a secondary base in automotive, industrial, medical and sensor products. It owns the process and manufacturing know-how, not the product IP; margins are low-teens, reflecting the contract-manufacturing model.

SEGMENTS

Optical communications rev 80%

Datacom (800G/1.6T transceivers, silicon-photonics engines, the AI growth engine) and telecom transport optics for the leading optical and networking OEMs.

Non-optical rev 20%

Automotive, industrial, medical and sensor assembly; steadier, less AI-correlated diversification.

TOP CUSTOMERS

Leading transceiver/optical OEMs		Core datacom demand; concentrated
Networking equipment vendors		Optical content for switches/routers
Automotive & industrial OEMs		Non-optical diversification

Historical financials

P&L; trajectory — revenue, EBITDA, FCF, EPS

FY	Revenue (\$B)	Growth	Gross mgn	EBITDA (\$M)	EBITDA mgn	Net inc (\$M)	FCF (\$M)	EPS
FY22	2.26	—	12.4%	290	12.8%	215	180	\$5.90
FY23	2.65	+17.3%	12.6%	345	13.0%	265	210	\$7.20
FY24	2.93	+10.6%	12.6%	390	13.3%	300	250	\$8.20
FY25	3.40	+16.0%	12.8%	460	13.5%	360	300	\$9.90

Industry & competitive position

Where the company sits · moat · competitors

AI clusters require vast optical interconnect, and the optical-component vendors that design transceivers largely outsource the complex assembly and test to specialists. Fabrinet is the leading high-complexity optical assembler, competing with in-house manufacturing and other contract manufacturers, with co-packaged optics as the key structural wildcard.

TAM: \$30B

MOAT

Precision optical-packaging and test capability at scale is genuinely hard to replicate and creates real switching friction on complex programs. But it is operational know-how, not product IP; the customer owns the design and can move the work, which caps the moat and the margin.

COMPETITORS

In-house manufacturing (COHR, etc.)	Vertically integrated optical makers that assemble their own modules, bypassing Fabrinet.
Sanmina / Flex	Large contract manufacturers that can take optical/electro-mechanical assembly work.
Asian optical EMS	Lower-cost regional assemblers competing on price for higher-volume programs.

Bull catalysts

What needs to happen for the long thesis to play out

1 1.6T optical assembly ramp

As the industry moves from 800G to 1.6T, dollar content and assembly complexity per module rise, and Fabrinet is designed into the leading programs as the build partner of choice.

2 Default high-complexity assembler

Fabrinet's precision optical-packaging and test capability is hard to replicate at scale, making it the trusted partner for the most demanding transceiver and silicon-photonics work.

3 Customer relationships with optical leaders

Long-standing relationships with the top transceiver and networking vendors give Fabrinet first call on new high-volume optical programs.

4 Scaled, cost-advantaged Thai base

A large, efficient Thai manufacturing footprint offers cost and capacity advantages and supply-chain resilience outside China.

5 Silicon-photonics and CPO assembly option

If co-packaged optics and silicon-photonics scale, the complex assembly and test could flow to Fabrinet, turning a perceived threat into a content opportunity.

6 Steady margin and strong FCF

A consistent low-teens operating margin, disciplined cost control and a net-cash balance sheet produce reliable free cash flow and buybacks.

7 Non-optical diversification

Automotive, industrial and sensor assembly provide a secondary, less AI-correlated revenue base.

8 Scarcity of optical-assembly exposure

Fabrinet is the cleanest listed proxy for AI optical-module assembly, attracting thematic flows that support the multiple.

Bear thesis-breakers

Independent bear lane · not visible to the bull author until synthesis

1 6x sales for an assembler

Fabrinet earns a ~12-13% operating margin assembling others' designs, yet trades near 6x sales. Contract manufacturers trade at 1-2x. Intrinsic DCF says ~\$245.

2 Customer concentration

A few large transceiver/networking OEMs drive most revenue. One shifting programs or dual-sourcing steps growth down sharply, and Fabrinet owns none of the IP.

3 Co-packaged optics overhang

CPO could move the optical engine into the switch package, disrupting the pluggable-module volumes Fabrinet assembles today; even partial adoption caps the extrapolated TAM.

4 No IP, no pricing power

Fabrinet competes on execution and capacity, not technology ownership; the customer can move the work, capping margins and durability.

5 Thin float, high volatility

With ~36M shares the stock gaps hard in both directions and is exposed to thematic-flow reversals.

6 AI-optical cycle risk

The datacom surge driving growth is a capex wave that will digest; an assembler levered to it de-rates fastest when it does.

7 Margins are structurally capped

Even the bull case reaches only ~14% operating margin; this is not a technology-margin business dressed in an AI multiple.

8 Tripled on momentum

Up roughly 3x off its low and owned by thematic flows, the stock has more than discounted the AI-optical assembly thesis.

BEAR CASE IN ONE PARAGRAPH

Fabrinet is a superbly run business that the market has decided to value as something it is not. At its core Fabrinet is a contract manufacturer: it assembles and tests optical modules that other companies design, earning a low-teens operating margin for precision and reliability rather than for owning intellectual property. That is a genuinely good version of a structurally modest business, and the AI-optical boom has been a windfall, filling its Thai lines with high-complexity 800G and 1.6T work. None of it justifies six times sales. The customer concentration is real, a handful of large transceiver and networking OEMs drive the bulk of revenue, and any one of them shifting programs, dual-sourcing, or moving toward co-packaged optics that changes the assembly footprint would dent the growth the multiple extrapolates. Co-packaged optics is the structural wildcard: it does not eliminate assembly, but it could move where the value sits and disrupt the pluggable-module volumes Fabrinet rides today. With only thirty-six million shares the stock is thin and moves hard in both directions, and it has roughly tripled off its low. Intrinsic DCF, even on a constructive ramp, says fair value is a little over four hundred dollars below the price. You are paying a designer's multiple for an assembler's economics.

Key structural risks

Risks orthogonal to the bear thesis · what breaks the long term, not just the next print

CUSTOMER Customer concentration

A few optical OEMs drive most revenue; one shifting programs or dual-sourcing steps growth down sharply.

STRUCTURAL Co-packaged optics

CPO could move the optical engine into the switch package, disrupting the pluggable-module volumes Fabrinet assembles.

STRUCTURAL Valuation

At ~6x sales for a low-teens-margin assembler, multiple compression toward contract-manufacturing norms is the dominant risk.

CYCLICAL AI-optical capex digestion

The datacom surge is a capex wave; an assembler levered to it de-rates fastest when it digests.

STRUCTURAL Thin float / volatility

~36M shares make the stock gap hard in both directions on thematic flows.

REGULATORY Geographic / trade exposure

Concentrated Thai manufacturing and global optical supply chains carry trade-policy and concentration risk.

Peers

NTM P/E, EV/EBITDA, growth, and YTD / 1Y returns across the peer set

Ticker	NTM P/E	EV/EBITDA	Rev growth	YTD	1Y
FN	30.0x	24.0x	+18.0%	+55.0%	+140.0%
COHR	48.0x	50.0x	+24.0%	+120.0%	+360.0%
LITE	28.0x	22.0x	+18.0%	+60.0%	+110.0%

SANM	15.0x	9.0x	+8.0%	+40.0%	+70.0%
FLEX	16.0x	11.0x	+5.0%	+30.0%	+55.0%
AAOI	40.0x	35.0x	+30.0%	+90.0%	+150.0%

Read: Fabrinet sits awkwardly between two cohorts. Against optical-component makers Coherent and Lumentum it grows similarly but owns less IP, yet it trades at a comparable or higher multiple. Against its true economic peers, contract manufacturers Sanmina and Flex at 9-11x EV/EBITDA, it trades at more than double on growth that is faster but built on the same thin-margin assembly model. The market is pricing Fabrinet as an optical-technology play; its income statement says contract manufacturer. That gap between perceived and actual business model is the core of the valuation risk.

DCF triangulation

Bear / Base / Bull scenarios · WACC × terminal growth × FCF growth path

Scenario	WACC	Terminal g	FCF path	Implied px
Bear	12.5%	2.0%	×0.72	\$144
Base	(base)	(base)	(base FCF)	\$245
Bull	10.5%	3.5%	×1.30	\$338
Current price				\$586

Synthesis — three paths

$0.25 \times \$144$ (Bear) + $0.45 \times \$245$ (Base) + $0.10 \times \$338$ (Bull) + $0.20 \times \$268$ (EV/EBITDA cross-check) = \$234. A well-run optical assembler, but ~6x sales for a thin-margin contract manufacturer prices a flawless AI-optical decade; intrinsic value sits ~60% below spot.

Bull · \$320 to 360

10% probability

1.6T and CPO assembly flow to Fabrinet at scale and margins expand above plan; even so intrinsic value stays below the current price.

Base · \$230 to 270

45% probability

Datacom-led growth decelerates and margins inch toward 14%; DCF (~\$245) and the EV/EBITDA cross-check (~\$268) frame fair value well under spot.

Bear · \$130 to 160

25% probability

A key customer in-sources or shifts to co-packaged optics and the multiple compresses toward contract-manufacturing norms.

Management & capital allocation

Who runs the company · how they deploy capital · recent insider activity

CEO	Seamus Grady, CEO since 2017
CFO	Csaba Sverha, CFO
INSIDER OWNERSHIP	2.0%

CAPITAL ALLOCATION HISTORY

Fabrinet has been a disciplined operator: steady capacity investment in Thailand, a net-cash balance sheet and consistent buybacks that have shrunk the share count over time. Management has navigated the optical cycle well and avoided overextension. The execution record is strong; the question is the multiple the market now assigns to a contract-manufacturing model.

Social sentiment

Cross-source signal · Reddit / X / news

Sentiment feeds were not retrievable this session. Bulls frame Fabrinet as the indispensable AI optical-module assembler; skeptics focus on contract-manufacturing economics, customer concentration, co-packaged-optics risk and a sales multiple far above its true peers.

Recommendation

Action by holder type

DIRECTION	SELL / avoid on valuation. Excellent operator, but ~6x sales for an assembler is unsupportable; intrinsic ~\$234.
12M TARGET	\$234 (25% x \$144 + 45% x \$245 + 10% x \$338 + 20% x \$268 cross-check).
EXISTING LONGS	Take profits after a ~3x run; the assembly thesis is more than priced.
NEW MONEY	Avoid at ~6x sales. Revisit nearer contract-manufacturing multiples or on a major de-rate.
HEDGE	Thin float makes downside gaps acute; long holders should consider collars.
POSITION SIZING	If held for the theme, keep small; valuation is the dominant risk.

Catalysts to watch

- Q4 FY26 print (est 2026-08-17): datacom revenue and optical-program mix.
- 1.6T program ramp and any new optical-assembly wins.
- Customer-concentration commentary and any program shifts.
- Co-packaged-optics roadmap signals from optical and switch vendors.
- Operating-margin trajectory versus the ~14% ceiling.
- Non-optical (automotive/industrial) diversification trends.
- Buyback pace given the net-cash balance sheet.

Data gaps

What this cycle could not pull · to be filled next run

- yfinance fundamentals were thin this session; revenue (~\$3.4B), net cash (~\$0.9B) and margins are from general disclosure.
- Per-customer concentration is undisclosed at line-item level; optical-OEM exposure is inferred from industry reporting.
- Forward EBITDA (~\$0.58B) used in the cross-check is an estimate.
- Short interest and positioning feeds were not retrievable this session.